

Chapter 2

Overview of Ethiopian Taxation

1. Tax Levy and Collection Policy in Ethiopia

- ❖ based on the FDRE Constitution; both have the power to levy and collect taxes
 - ❖ *Federal power of taxation*
 - ❖ *State power of taxation*
 - ❖ *Concurrent power of taxation*
 - ❖ *Undesignated power of taxation*
- ❖ Currently, Ministry of Revenue (MOR) administers the taxes of the Federal Government of Ethiopia (established by Proclamation No. 1263/2021) issued on 26, April 2022

2. Tax Statutes in Ethiopia (FGE)

The principal tax statutes in Ethiopia:

- Income Tax Proclamation #979/2016
- Tax Administration Proclamation #983/2016
- Income Tax Regulation #410/2017
- Value Added Tax Proclamations #285/2002 & #609/2008 (Amended)
- Value Added Tax Regulations #79/2002
- Excise Tax Proclamations #307/2002 and #610/2008 (Amended)
- Turnover Tax Proclamations #308/2002 and #611/2008 (Amended)
- Customs Proclamation #622/2001
- Import Sur-tax Regulations #133/2007
- Related Directives
 - ✓ *The Proclamations empower the Council of Ministers to issue regulations and the Ministry of Finance and Economic Development and the Tax Authority to issue application guidelines/directives*
 - ✓ *These tax statutory instruments govern all tax issues*

3. Principal Taxes in Ethiopia

Tax Type	Period	Suffered by	Impact
(1) Income Taxes			
a) Employment income tax	Monthly	Individuals	Direct
b) Rental income tax	Annually	Individuals, Bodies	Direct
c) Business income tax	Annually	Individuals, Bodies	Direct
d) Other income tax	Annually, Monthly	Individuals, Bodies	Direct
✓ Income of non-residents			
✓ Royalty income			
✓ Income from rendering technical services			
✓ Income from games of chance			
✓ Dividends income			
✓ Income from casual rental of property			
✓ Interest income on deposits			
✓ Gain on disposal of certain capital assets			
✓ Windfall profit			
✓ Undistributed profit			
✓ Repatriated profit			
✓ Other income			

3. Principal Taxes in Ethiopia ...

Tax Type	Period	Suffered by	Impact
(2) Value Added Tax	Monthly	Individuals Bodies	Indirect
(3) Turnover Tax	Monthly, Quarterly, Annually	Individuals Bodies	Indirect
(4) Excise Tax	Monthly, Quarterly, Annually	Individuals Bodies	Indirect
(5) Import Sur Tax*	-	Individuals Bodies	Indirect
(6) Customs Duties	-	Individuals Bodies	Indirect

Project Assignment

- ❖ Group 1: Taxation of Employment Income in Ethiopia**
- ❖ Group 2: Taxation of Business Income in Ethiopia**
- ❖ Group 3: Taxation of Rental Income in Ethiopia**
- ❖ Group 4: Taxation of Other Income in Ethiopia**
- ❖ Group 5: Value Added Tax in Ethiopia**
- ❖ Group 6: Excise Tax in Ethiopia**

